

Chinese Infrastructure in Southern Africa

Southern Africa

- SIGNAL** Chinese mineral processing plants are crossing from construction to commissioning across Southern Africa, converting beneficiation pledges into operational production.
- FRACTURE** China's financial architecture in Africa is fragmenting – sovereign lending has collapsed to a two-decade low and the private capital Beijing promised to replace it has not materialised.

Chinese firms will accept host-nation processing demands and build domestic beneficiation plants across Southern Africa over the next 12 months, deepening technological lock-in rather than losing control of critical mineral supply chains.

80%

PROBABILITY

▲ from 75%

TARGET: JUNE 2027

CONFIDENCE: MEDIUM

WHAT'S NEW

- Zimbabwe's Sandawana Mine \$300M deal with Huayou Cobalt and Tsingshan Holding Group was confirmed as a "done deal" – transitioning from negotiation to binding commitment with full mine and processing facilities planned, extending Chinese control into Zimbabwe's largest untapped lithium deposit (Source 41)
- Zimbabwe designated 13 additional critical minerals – including cobalt, platinum group metals, and rare earths – for raw export prohibition from January 2027, extending the beneficiation-forcing model beyond lithium into the full critical minerals spectrum (Source 42)
- Huayou's Prospect Lithium Zimbabwe carbonate plant reached ~90% completion, with the company generating over \$1.1 billion in foreign exchange for Zimbabwe; government ambitions now extend to domestic lithium battery and solar panel manufacturing (Source 43)
- Namibia's President Nandi-Ndaitwah concluded a landmark state visit to Beijing, signing eight cooperation agreements covering uranium, lithium, rare earths, and offshore oil – with explicit commitments to domestic processing, technology transfer, and skills development across all commodity classes (Sources 26, 30)
- Angola secured a \$900M privately funded Chinese investment for the Barra do Dande Port Terminal, with a 25-year build-operate concession – marking Chinese expansion

into privately financed, long-term port infrastructure operations on the Atlantic coast, complementing the Lobito Corridor (Source 44)

- Zambia's Luanshya Copper Mine, idle for over two decades, is set to resume production in August 2026 under CNMC's 80% ownership – the \$710M 28 Shaft redevelopment signals Chinese willingness to commit major capital to brownfield restarts where Western capital has withdrawn (Reuters, April 2026)
- The Quad (US, Australia, India, Japan) launched a Critical Minerals Initiative Framework committing up to \$20B, using the bluntest language yet toward Beijing – citing "grave concerns" over "economic coercion" and "arbitrary export restrictions" – explicitly naming Lobito, Nacala, and TAZARA as platforms for Quad investment sequencing (Source 45)
- The CGD documented a structural shift in Chinese lending: infrastructure projects have fallen from 75% to less than 25% of overseas portfolio, replaced by \$71.5B in private fossil fuel extraction collateralised against oil and mining payments – reshaping the financing architecture underpinning China's Africa infrastructure (Source 46)
- DRC and Zambia advanced a transboundary battery-materials Special Economic Zone, aiming to foster local production of precursors, cathodes, and eventually battery cells – the most ambitious downstream processing play on the continent (HKTDC, October 2025; AMIQ July 2026)
- The IEA's 2026 Global Critical Minerals Outlook documented a structural vulnerability: China's May 2026 curb on sulphuric acid exports disrupted global mineral processing, with acid costs overtaking energy as the largest production cost component for several critical minerals – underscoring how China's midstream dominance extends beyond mining into processing inputs

ANALYSIS

POLITICAL

The resource nationalism axis has solidified from a Zimbabwe-led experiment into a continental norm with binding consequences. Namibia's July state visit to Beijing produced commitments to domestic processing across uranium, lithium, and rare earths – not as a concession extracted by an assertive host, but as a jointly stated objective embedded in eight cooperation agreements. This marks a shift from adversarial negotiation (Zimbabwe's raw export ban forcing Chinese firms' hands) to pre-emptive integration (Namibia securing processing commitments at the deal-formation stage). Zimbabwe's extension of the raw export ban to 13 additional minerals – cobalt, PGMs, rare earths – signals that the model is being institutionalised rather than treated as a lithium-specific exception. The Quad's \$20B Critical Minerals Initiative, launched with unprecedented rhetorical sharpness toward Beijing, represents the most concerted Western countermeasure yet – but its impact depends on disbursement velocity, which the Lobito

Corridor experience (ECDPM analysis showing actual Western spend far below headline figures) suggests will be slow. China is counter-positioning through BRICS strategic minerals coordination and through the transboundary DRC-Zambia battery SEZ, which would embed Chinese processing technology in the continent's most ambitious downstream industrial project.

ECONOMIC

The economic evidence supporting the core prediction has strengthened substantially. The Sandawana \$300M deal, the Huayou carbonate plant nearing completion, and the Luanshya copper mine restart collectively demonstrate that Chinese firms are not merely pledging processing investments – they are commissioning them. Zimbabwe's beneficiation revenue data (79% value increase on 27% volume growth in Q1 2026) has created a powerful demonstration effect that Namibia, Tanzania, and DRC are now emulating. However, the financing architecture underpinning these investments is shifting in ways that introduce fragility. Chinese sovereign lending – the engine of BRI-era infrastructure – is at a two-decade low. The CGD documents infrastructure falling to less than 25% of China's overseas lending portfolio, replaced by \$71.5B in private fossil fuel extraction deals. PPPs, which Beijing has touted as its new preferred vehicle, have failed to gain traction in Africa. This means the processing plants currently being built are financed by private Chinese firms (Huayou, Tsingshan, CNMC) deploying their own balance sheets – a more commercially disciplined model but one that lacks the strategic patience and below-market financing that state-backed BRI lending provided. The Reuters July 31 analysis captures the tension: Chinese investment in Africa surged 114% in 2025, but it is overwhelmingly mineral-extractive, with analysts describing a relationship "late-19th century Britain would recognize." Meanwhile, Angola's \$900M Barra do Dande port concession and Zimbabwe's new lithium rail route to Maputo demonstrate that Chinese logistics infrastructure is expanding even as sovereign lending contracts – shifting to privately financed, operationally controlled models that may prove more durable than state-backed loans.

MILITARY

The strategic minerals competition has escalated from supply chain diversification to explicit military-supply-chain framing. The Quad's \$20B framework explicitly links critical minerals to defence industrial bases – the minerals essential for EV batteries are the same minerals essential for advanced weapons systems, radar, and military communications. China's sulphuric acid export curbs in May 2026, documented by the IEA, demonstrate a willingness to use midstream processing inputs as leverage – acid is essential for copper, lithium, cobalt, nickel, and rare earth processing, and China controls the dominant share of global supply. This adds a new dimension to China's technological lock-in: it extends beyond processing plants and port software into the chemical inputs without which mineral processing itself cannot function. The Glencore sale of 40% stakes in DRC copper-cobalt assets to a US-Gulf consortium (\$8-9B) represents the most significant Western counter-acquisition in the DRC, but it leaves Glencore with operational control – the consortium secured ownership but not the processing infrastructure or technical expertise that China has embedded through direct mine-to-

smelter integration. The US-backed Madagascar rare earths project extends the competition geography beyond the traditional Copperbelt into new mineral frontiers.

| TECHNOLOGICAL

China's technological lock-in is deepening across four reinforcing vectors. First, proprietary processing technology is now operational at scale: Huayou's lithium carbonate plant, the Kamoa-Kakula copper smelter, and soon the Sandawana processing facility all run on Chinese industrial technology that host nations cannot independently operate or maintain. Second, China's midstream chemical dominance – the IEA documents that outside China, only a handful of suppliers provide battery-grade graphite processing equipment, rare earth magnet production equipment costs are reportedly 10x higher, and lead times are far longer – creates a structural dependency that extends beyond individual plants into the enabling inputs for all mineral processing. Third, the DRC-Zambia transboundary battery SEZ represents an attempt to embed Chinese processing technology at the regional industrial policy level, creating a platform that would shape standards, supply chains, and technical training for a generation. Fourth, the shift from sovereign lending to private Chinese firm investment may paradoxically deepen technological lock-in: private firms deploying their own capital are more motivated to protect proprietary technology as a competitive advantage, whereas state-backed BRI projects were more likely to include technology transfer provisions as part of diplomatic package deals. The beneficiation shift demanded by African governments continues to accelerate technological dependence – local plants operate with Chinese technology, Chinese chemical inputs, and Chinese supply chains for spare parts and consumables.

WATCH INDICATORS

- Zimbabwe-China Railway resource-backed infrastructure financing – whether formal agreement is reached following WEF Dalian talks
- Huayou lithium carbonate plant commissioning and first battery-grade production volumes
- Sandawana Mine construction commencement and processing plant technology specifications
- Namibia-China uranium processing facility commitments – transition from joint statement to binding agreement
- DRC-Zambia transboundary battery SEZ implementing framework and Chinese firm participation
- Zambia Luanshya copper mine restart – August 2026 production volumes and CNMC expansion plans
- Quad Critical Minerals Initiative disbursement velocity – gap between commitment (\$20B) and actual deployment
- Chinese sulphuric acid export policy – whether curbs are extended, signalling willingness to use midstream inputs as leverage

- Angola Barra do Dande Port construction timeline and operational integration with Lobito Corridor
- Barrick Lumwana \$2B expansion vs Chinese mine acquisitions – whether Western capital can match Chinese brownfield restart speed
- Zimbabwe 13-mineral export ban implementation – enforcement mechanisms and Chinese firm compliance ahead of January 2027 deadline

PROBABILITY TRIGGERS

EVENT	DIRECTION
Chinese firm commissions new lithium carbonate or copper processing facility in Southern Africa	Up
Zimbabwe signs formal resource-backed infrastructure financing agreement with China Railway	Up
Namibia-China uranium processing plant agreement advances from joint statement to binding MoU	Up
Quad Critical Minerals Initiative disburses first \$1B+ in project financing to Southern African corridor	Down
Chinese sulphuric acid export restrictions are tightened or extended, raising processing costs for non-Chinese operators	Up
Western firm (non-Chinese) acquires a major operational copper/cobalt mine in DRC or Zambia with processing infrastructure	Down
Resource nationalism spreads to a major Chinese-owned operational mine resulting in forced renegotiation of terms	Down
DRC-Zambia battery SEZ secures binding Chinese technology partner commitment	Up
Barrick Lumwana \$2B expansion reaches construction phase before any Chinese greenfield in Zambia reaches the same stage	Down

KEY SOURCES

1. Reuters: Post-Covid, China is back in Africa and doubling down on minerals
2. MINING.COM: Zimbabwe taps Chinese firms for \$300 million lithium project
3. Japan Times: As Zimbabwe's raw lithium ban pays off, ambitions grow
4. Al Jazeera: Can Zimbabwe's mineral ambitions benefit smaller producers?
5. Reuters: Namibia secures China deals on infrastructure, mining and energy with state visit

